The CBB Sandbox Pathway

A supervised test route to full authorisation — how firms enter, test, and exit Bahrain's crypto-asset licensing framework.

CBB FINTECH & INNOVATION

CRYPTO-ASSET REGULATION



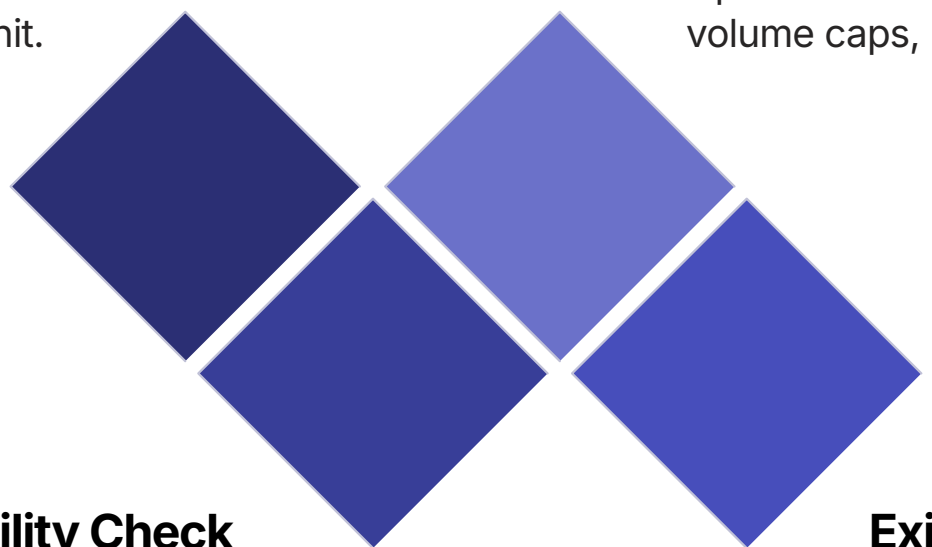
The Four-Step Sandbox Pathway

Apply

Submit application to CBB FinTech & Innovation unit.

Test

Operate with customer limits, volume caps, reporting.



Eligibility Check

Firm confirms it meets CBB entry criteria.

Exit

Outcome: full licence, extension, or stop.

The highest-risk gate is Step 3. Failing to meet AML (CRA-7) and custody (CRA-8) conditions stops all progression to a full licence.

Licence Categories & the Worked Example



Worked Example: Hypothetical Exchange

01

Eligibility

Firm confirms it qualifies to enter the Sandbox.

02

Apply to CBB

Formal submission to the FinTech & Innovation unit.

03

Test in Sandbox

Operate under customer & volume limits. Report to CBB. Meet CRA-7 (AML) and CRA-8 (custody).

04

Exit to Category 4

Full licence granted if conditions are met.



Key Rules to Remember

Sandbox = Supervised Test

Not a permanent status. Firms must exit — with a licence, an extension, or a stop.

Category Determines Activity

A crypto-asset exchange operator requires a **Category 4** licence. The application must map to the correct CRA chapters.

CRA-7 & CRA-8 Are Critical

AML compliance (CRA-7) and custody standards (CRA-8) are the conditions most likely to block exit to a full licence.